

TCW, Inc., *Claimant*

v.

EVERGREEN SHIPPING AGENCY (AMERICA) CORPORATION, *Respondent*

CLAIMANT'S SUPPLEMENTAL BRIEF

Introduction

Claimant TCW, Inc. ("TCW") responds to the Commission's questions in the Order for Supplemental Briefing (April 26, 2021). TCW addresses arguments made by Evergreen Line and also responds to the arguments made by amici, as appropriate. In so doing, Claimant will rebut Evergreen's primary contention, that neither section 41102(c) nor the Commission's *Interpretive Statement on Demurrage and Detention*, 46 U.S.C. § 545.5, apply at all because TCW's claim is a purely contractual matter among Evergreen Line, TCW and their mutual customer Yamaha Motor Corp. (USA) under Evergreen's UIIA Addendum. Rather, this matter involves a claim under the Shipping Act, to which the Commission has expressly held the UIIA may be subject, particularly when matters of demurrage and detention imposed by ocean carriers are at issue. Respondent further mischaracterizes the relationship between Evergreen and Claimant, for, as will be demonstrated, the transaction at issue grows out of a contract between Evergreen and its BCO customer as to which Claimant was a stranger and to which Claimant had no access until discovery in this proceeding.

Commission Issue 1: Evergreen Agency Relationships

Both Evergreen Shipping Agency (America) Corp. and Evergreen Line should remain subject to a finding of liability and claims for relief in this matter. Evergreen Shipping Agency is

named on the “Preferred Trucker Agreement” (“PTA”), the per diem invoice to claimant, as well as in the UIIA. An exclusion of Evergreen Shipping Agency would allow Evergreen Line to deny reimbursement to the Claimant based upon the fact that damages were not incurred directly from Evergreen Line.

In its brief, the Respondent contends that “Evergreen-Agent” is outside the subject-matter jurisdiction of the Commission because the Commission only has subject-matter jurisdiction over ocean carriers but not their agents. Resp’t Br. ¶ 49. This fact is of no consequence, Evergreen states, because Evergreen-Principal takes full responsibility for the actions of Evergreen Agent. Resp’t Br. ¶ 51. This is so even in the case where Evergreen-Agent signed the UIIA as principal, with no disclosure of its role as Evergreen’s agent, because as agent, Evergreen-Agent bound Evergreen-Principal. Resp’t Br. ¶ 51(d).

Evergreen thus states that, should the Commission determine TCW’s claims in its favor, the Commission can order Evergreen-Principal acting directly or through an agent to “cease and desist” from whatever the Commission decides to forbid. Resp’t Br. ¶ 52. But if so, why is Evergreen so strenuously arguing against direct Commission oversight of its subsidiary and agent regarding potential violations of the Shipping Act? Notably, Evergreen’s brief does not mention awards of reparations (although the Small Claims Officer’s (“SCO”) Initial Decision (“I.D.”), at 15 states that Evergreen-Principal would be responsible), nor potential violations of other sections of the Shipping Act that might go unremediated. For example, if Evergreen-Principal disputed the scope of the agency relationship where Evergreen-Agent engaged in unlawful conduct, Evergreen-Principal could disavow Evergreen-Agent’s conduct to avoid reparations or other Commission relief.

Evergreen's arguments that the Commission cannot directly adjudicate the lawfulness of subsidiary Evergreen-Agent's conduct as agent for an ocean common carrier thus should be rejected.

Commission Issue 2: Section 41102(c) elements

A. What acts or omissions are alleged to be unreasonable? TCW brought three practices before the Commission that it believes are unreasonable:

- a. Respondent invoices per diem for containers and chassis on weekends, holidays and port closures;
- b. Respondent invoices claimant (motor carrier) for per diem, while those charges and free time are negotiated with the BCO; and
- c. Respondent invoices the claimant for chassis fees at a fixed rate that is also negotiated directly with the BCO.

In its order for supplemental briefing, the Commission noted that it is "particularly interested in arguments regarding application of the interpretive rule on demurrage and detention." While the statement excludes chassis issues from its express coverage, as the I.D. found, at 16 n. 5, the Commission "would be especially careful to analyze how the chassis supply model at issue relates to the primary purpose of demurrage and detention." Thus, Complainant does not ask the Commission for relief relating to chassis in this proceeding separate and distinct from its liability and relief findings regarding containers, but only to apply its findings regarding Respondent's container per diems and billing to chassis. This outcome is particularly appropriate where, as shown by the invoices in the record, that container and chassis per diems are billed to TCW in the same invoice.

B. Whether those acts and omissions occurred on a normal, customary and continuous basis.

Discovery obtained in this proceed has made it clear that the practices set out in Exhibit (A) are normal, customary, and occur on a continuous basis. First, while this claim pertains to one invoice, Claimant has and still receives many invoices monthly from Respondent for charging per diems for the exact scenarios (see Exhibit E, where per diem was invoiced through the Christmas holiday, when the port was closed). On September 21, 2020, Claimant supplied the SCO with records of over 200 invoices ranging from December 2019 to August 2020 through discovery. While those records were not part of the claim, that record evidence shows many cases of per diem billed through weekends, holidays and port closures. Furthermore, Respondent's UIIA Addendum is applicable to all UIIA motor carrier participants and specifies these charges and practices. *See Exhibit (A) at note 2– "Saturdays, Sundays and legal Holidays are included in computing the Excess Period."* Because adherence to the Addendum is a precondition for moving Respondent's containers, whether as carrier haulage under (e.g., a Preferred Trucker Agreement) or as merchant haulage, Respondent has ensured that its unreasonable demurrage and billing practices are applied to all motor carriers who move its containers, including container movements by TCW for multiple customers other than Yamaha Motors.

C. Whether those acts and practices are unreasonable.

Multiple factors in the interpretive rule and the Commission's explanatory statements support a finding of unreasonableness. As demonstrated by the agreement itself, the terms of

the UIIA Addendum were incorporated by reference into the PTA, which required any preferred trucking provider to be a signatory to the UIIA and Addendum. As a result, any carrier, including TCW, must be an Addendum signatory to do any container business with Respondent, whether or not TCW had signed the Yamaha Motors PTA. Indeed, TCW affirms that it was a signatory to the Addendum prior to signing the Yamaha PTA. Therefore, Respondent's arguments that its practices are not "unreasonable" because they are not "imposed" on Claimant, or that the per diem and billing arrangements are outside the Commission's jurisdiction because they were "incorporated terms of a privately-negotiated contract," Resp't Br. ¶¶ 25, 26, must fail.

1. The Significance of the UIIA and UIIA Addenda

As the SCO recognized, the Commission has already found that section 41102(c) applies to the UIIA:

That the parties are signatories to the UIIA does not prevent the Commission from asserting jurisdiction over the issue whether the per diem charge is unjust and unreasonable. As the Commission notes: "Ocean carrier practices, whether incorporated in the UIIA, or not, are within the Commission's purview under section 41102(c)." Final Rule, 85 FR at 29649. Commenters to the NPRM raised similar arguments that the interpretive rule would "interfere with private and lawful commercial arrangements." 85 FR at 29648. The Commission responded:

But whether commercial arrangements are lawful is the point. Ocean carriers and marine terminal operators and ocean transportation intermediaries) do not have an unbound right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).

I.D. at 17. Indeed, in the section "General Policy Comments to Rule," section 4 of THE UNIFORM INTERMODAL INTERCHANGE AND FACILITIES ACCESS AGREEMENT, 85 Fed. Reg. at 29649, the Commission held:

A few points about the UIIA. ... [A]lthough there is a standard UIIA agreement, many terms are dictated by each equipment provider's addendum to the UIIA, which is defined as the provider's "schedule of economic and commercial terms not appropriate for inclusion in the uniform Agreement and other terms and conditions of Equipment use. [174]

Because not all ocean carriers or truckers participate in the UIIA, and because ocean carrier practices may be contained in their addenda as opposed to the standard UIIA itself, the Commission cannot simply assume that the processes outlined in the UIIA sufficiently address concerns about ocean carrier detention practices vis-à-vis truckers. This is especially true given complaints that participants do not always abide by the terms of the UIIA or the addenda. That said, the UIIA has been in effect for decades and was negotiated with the participation of carriers, truckers, and railroads. Ocean carrier practices, whether incorporated in the UIIA or not, are within the Commission's purview under section 41102(c).[176] To the extent UIIA terms or conditions are relevant to determining the reasonableness of particular detention practices, nothing precludes parties from raising these issues in individual cases.

Footnote 174 notes that due to antitrust reasons, the economic terms, such as Respondent's rules on weekend charging of demurrage, can't be discussed by UIIA's governing body at all: ("Notably, to comply with antitrust law, the UIIA cannot include or dictate economic and commercial terms that are specific to each equipment provider. Such terms are handled through individual addenda to the UIIA.").

Footnote 176 additionally states: "PMSA [Pacific Maritime Shipping Ass'n] asserts that the Commission 'probably does not have jurisdiction' to 'mandate wholesale changes that are inconsistent with the UIIA.' PMSA at 14. PMSA cites no authority for this proposition. To the contrary, ocean carrier demurrage and detention practices and regulations are within the Commission's jurisdiction under section 41102(c)."

Further, the UIIA's dispute resolution procedures are of no utility in asserting Shipping

Act claims. Section 545.5(d) states that

The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practice and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

However, while the governing document on per diem (UIIA) does provide dispute resolution on certain measures, Claimant could not invoke the dispute resolution process for this claim as the circumstances do not violate the unilaterally imposed UIIA Addendum.

In short, ocean carrier demurrage practices that otherwise would be unlawful under the Shipping Act are not rendered lawful just because they are incorporated in an ocean carrier's UIIA Addendum, particularly when the unlawful terms are essentially unilaterally imposed by the ocean carrier through Addenda.

2. The Incentive Principle and Its Application to TCW's Claim.

As adopted, Section 545.5(c) states:

Section (c) Incentive principle – (1) General. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

The Respondents and amici National Association of Waterfront Employers (“NAWE”), World Shipping Congress (“WSC”) and Ports America/ SSA Terminals argue that a ruling in favor of Claimants could establish precedence for other cases which could adversely impact terminal operations. Respectfully, we ask that the Commission review each such scenario separately and apply the Interpretive Statement to any such cases in their specific context. Here, Respondents and amici have provided no facts establishing any real impacts to port or terminal operations that would result from this claim.

A broad range of incentives exist for motor carriers and BCO's to return equipment as timely as possible. Motor carriers in particular have felt the strain of congestion as much as anyone. Drivers in the intermodal sector are leaving the industry (*US drayage drivers quitting*

as rail ramp congestion crimps pay, JOC), Exhibit C; *(Driver turnover tightening NY-NJ drayage capacity amid import surge, JOC)*, Exhibit D. Motor carriers are under the same capacity constraints as everyone else in the supply chain. Our yard space is no less free, nor less valuable and our drivers' turn times no less critical to cargo fluidity than any other metric in the equation.

Charging per diem on weekends, holidays and port closures serves absolutely no purpose in promoting freight fluidity. The Commission confirmed its understanding of these differing factors and relationships, and the importance of ensuring a reasonable playing field for all actors in the supply chain, in the final three paragraphs of Section B.3. of the Interpretive Rule, 85 Fed. Reg. at 29648 – 49 (footnote omitted):

Suffice it to say, ocean carriers and marine terminal operators do not have an inviolate right to contract with their customers free from government scrutiny, and there is reason to question whether demurrage and detention practices are normally the subject of arms-length negotiation between parties with remotely equal bargaining power. Consequently, that the guidance in the rule, when applied in a case, might put some limits on the ability of ocean carriers or marine terminal operators to impose, or negotiate, demurrage and detention practices vis-a-vis shippers, intermediaries, and truckers, is not itself a reason not to issue guidance. For the same reasons, ocean carrier and marine terminal operator arguments that they are being treated unfairly by the rule are taken with a grain of salt, though the Commission agrees that shippers, intermediaries, and truckers have an equally important role to play in enhancing the efficiency of the transportation system”

The Interpretive Statement expressly deals with return of empty containers in Section 545.5(c)(2)(ii):

Particular applications of incentive principle – Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

Clearly, this description matches the exact claim in question. Claimant could not return the empty container due to port closures on holidays and weekends. Therefore, the decision that these charges are unreasonable should stand, and the Commission should reject Respondents' proposed "once in per diem, always in per diem" approach. Indeed, the Commission has rejected arguments that the "once-in-demurrage, always-in-demurrage" principle should control the application of the Interpretive Rule, holding that;

The Commission therefore does not agree with some commenters' arguments that it is always a reasonable practice to charge detention and demurrage after free time regardless of cargo availability or the ability to return equipment. ... That is, in assessing the reasonableness of demurrage and detention practices, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity, including how demurrage and detention are applied after free time has expired.

85 Fed. Reg. at 39653. Here, Respondents' addenda in the UIIA provides that per diem is applicable to all days past the last free day, meaning "once in per diem, always in per diem."

Affirmance of the I.D. is thus strongly supported by the Commission's existing guidance.

3. The Commission Should Provide Guidance that "Freight Fluidity" Requires Not Charging per Diem/Detention for any Days that Ports and Terminals are Closed.

Affirming the decision will not create disincentives to timely returning empties. In this particular case, per diem charges would still accrue on the day of return (Tuesday after Memorial Day). As such, one day of per diem was the penalty for not returning the empty on the Friday prior. At current per diem rates for containers, this still provides sufficient motivation. Claimant thus believes that there is no reason why exclusions should be limited to days in which the port/terminal closure is due to an exigency against which the return date

would be unplannable or which frustrate a BCO's or motor carrier's efforts to return. If the port or terminal is closed, there is no basis to charge an incentive to return a container when that incentive could not be translated into an actual return.

Further, while this claim involves only one holiday weekend when the Port of Savannah was closed, the Commission should apply the incentive principle more broadly to require elimination of per diem and detention/demurrage affecting the return of empty containers for any day on which the designated return terminal was closed. As long as per diem is charged for the prior and following port-open days, there is an ongoing incentive to return timely containers (and their associated chassis).

Amici assert that such an open-days-only rule could cause them to change pricing practices by having to raise their per diems to reflect the need to recover their costs over a fewer number of days. NAWA Br. at 13 (third bullet). But if so, this is what the application of the incentive principle should require: the need to promote container fluidity by charging appropriate rates for holding on to containers and chassis on days on which they could have been returned.

Ports America/SSA Terminals' argument that, such an open-days-only rule could lead to rational BCO decisions to leave containers on an MTO's property over a weekend, rather than to pick them up on a Friday, is not a necessary outcome of such a broader rule. However, the specific issue before the Commission relates only to the application of the incentive principle to return of empty containers, not demurrage charged by an MTO related to the pick-up of loaded containers.

NAWE's amicus raises a concern that actually demonstrates that Claimant's position would *promote* freight fluidity:

The second negative implication of the Settlement Officer's decision is the pressure it might place on ports and terminals to remain open when it is not otherwise efficient or economical to do so. If carriers are not permitted to assess detention charges on weekends when ports and terminals are closed, *they may pressure ports and terminals to open on weekends. Terminals could face similar pressures from cargo interests and motor carriers.* If marine terminal operators are pressured to open on weekends, this will involve substantial additional costs, particularly labor costs (assuming sufficient labor is available for additional shifts and/or permitted under labor agreements). These increased costs will ultimately be borne by the shipping public.

NAWE Br. at 15 (emphasis added).

From Claimant's perspective, opening terminals on weekends (or with additional hours) would be one way to inherently promote freight fluidity, and would truly reflect the incentive principle at work. Whether additional costs from additional days benefit BCO's due to increases in freight fluidity is for the market to work out as stakeholders respond to this incentive to promote freight fluidity.

4. Respondent's Practice of Billing Per Diem Charges to Motor Carriers is Unreasonable.

In the I.D., the SCO stated, at 22 n. 7, "While Claimant raises objections to invoicing it for per diem charges rather than the BCO, it does not allege that the conduct violates section 41102(c), but merely requests that Respondents be ordered to send the invoices directly to the BCO." In fact, Respondent's billing practices meet precisely the test for an unreasonable practice as set out in *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan*, 24 S.R.R. 714, 721-22 (1988): a "'just and reasonable practice' most appropriately means a practice otherwise lawful but not excessive and which is fit and appropriate to the end in view," and "[a]

regulation or practice may have a valid purpose and yet be unreasonable because it goes beyond what is necessary to achieve that purpose.”

Respondents’ billing of a motor carrier, rather than the BCO with which it has a service contract, for per diem “goes beyond what is necessary” for Respondent to collect per diem charges, and involves the motor carrier in a billing transaction in which it is the least knowledgeable party. Amicus WSC argues that the Commission should consider “the commercial context” in analyzing this case, at 5. If it does so, the Commission will find that issues at the heart of this case represent Respondents’ departure from normal commercial practices. Their billing practices *created* the problems that the SCO correctly resolved on the merits. However, the I.D. misses the mark by holding that the Commission should not order Respondent to bill its through (store door) transportation customers for detention.

Here, Respondent has adopted a practice of not billing its customers for detention (per diems) for containers and chassis, but making the motor carrier liable for payment and subsequent recovery from the relevant BCO. Had Respondent followed this standard practice, Claimant would not have been obliged to pay unlawful per diems for the days on which the port was closed, and the issue of the BCO paying those fees and Claimant’s standard service charge mark-up would not arise.

Respondent argues that “there is nothing to see here” because there is a three-way contractual relationship between Claimant, Respondent, and the BCO. This argument ignores the basics of that three-way relationship. For example, while Respondent’s UIIA Addendum provide motor carriers with free time of four business days plus the day of pick-up, Respondent has invoiced Claimant for entirely different free time, negotiated in a separate contract with the

BCO. As the Claimant is not a signatory to the contract between the BCO and Respondent, and was only provided that contract through discovery in this proceeding, Claimant operated on the BCO's representation that additional free time had been negotiated. Respondent attempts to use the PTA as a defense, even though that document suggests per diem is the responsibility of the motor carrier with no regard as to why the per diem accrued. See Exhibit B, (5):

5. In the event the PT [preferred trucker] accumulates outstanding Per Diem and/or Maintenance and Repair invoices for shipments delivered or picked up on Account's behalf, the Account will assist EGA [Evergreen America] to collect these charges from the PT in a timely manner. . .

Respondent asserts full contractual privity among Evergreen, the BCO, and Claimant, in its opposition to the I.D., relying on what it argues is contrary precedent. But this belies the fact there is no precedent regarding the model of marine lines billing motor carriers for per diem. Therefore, the Commission should establish such guidance by reversing the SCO's ruling on this issue. The contracts that do exist do not support Respondents' contentions. The PTA does not address per diem free time. The UIIA allows interchange of equipment by the motor carrier from the marine line; yet the UIIA Addendum unilaterally imposes per diem free time and charges, among other charges, and has differing free time than what was agreed upon by the BCO and Respondent. The contract with the Respondent and the BCO was unknown to and not binding upon Claimant.

While Claimant was billed according to the contract with the BCO, it would seem possible that the Respondent could legally (but excessively) recover both from the Claimant (motor carriers) at the free time posted in the UIIA, then recover again from the BCO according to the additional contract. Further, the daily bill rate for per diem has been redacted from the transportation contract between the BCO and Respondent produced in this proceeding (see

Respondent Exhibits Redacted in response to Order to Submit Supplemental Information). Claimant has no knowledge as to whether or not a differing daily bill rate had been negotiated. Due to this lack of clarity, Claimant contends that Respondent should be directed to bill its direct customers, rather than billing Claimant, who is simply acting as a subcontractor to move cargo.

Therefore, Claimant continues to assert that per diem and/or detention should be billed directly to the BCO if and when accrued and that Respondent's contrary practice is unreasonable under the Shipping Act. As such, we respectfully request that the I.D. (at F.2.b.) with respect to Claimant's Request to Order Respondents to bill Per Diem Charges Directly to Customers, be overturned and relief granted in Claimant's favor.

Commission Issue 3: Relevance of TCW Pass-Through

The direct purchaser rule of *In re Vehicle Carrier Service*, 1 F.M.C.2d 440, 446 (FMC 2019) and its corollaries, from *Illinois Brick v. State of Illinois*, 431 U.S. 720 (1977) through *Apple v. Pepper*, 139 S. Ct. 1514 (2019) controls the outcome of this case. Contrary to Respondents' assertion (at 15), Claimant is a purchaser of transportation services, here payment to Respondent for use of containers and chassis (beyond free days) to permit it to transport cargo in those containers to their point of destination. In this, it is no different from other motor carriers that the Commission identified as a class of maritime industry participants that come within the protection of the Interpretive Statement. By definition, the Claimant is a direct purchaser since detention charges are being paid by the Claimant to the Respondent. *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531 (1918) confirms Claimant is entitled to

recovery for overcharges, regardless of whether those overcharges have been or are able to be passed down.

Nor is it legally correct that Claimant cannot have standing under the Shipping Act to recover reparations because it has not “suffered any economic harm and is not entitled to any reparations,” as NAWA argues (at 11-12), or that the charges must have been “reasonable” as Claimant was able to pass them on. While many considerations may have gone into the establishment of the direct purchaser rule over the last century, *Vehicle Carrier Services* confirms that the rule is hard and fast. The direct purchaser alleging violations of the Shipping Act can sue for reparations, and the shipper/BCO cannot. 1 F.M.C. 2d at 445.

Indeed, NAWA’s arguments that attempt to support Respondents are contradictory in theory and weigh in Claimant’s favor. For example, NAWA claims that in *In The Government of the Territory of Guam, et al. v. Sea-Land Service, Inc. and American President Lines, Ltd.*, 2002 FMC LEXIS 16 (ALJ 2002), Claimants admitted that they had passed on the rates they were challenging to their own customers. But that is irrelevant. NAWA overlooks the central difference between that case and this—that the Claimants in that case were *not* direct purchasers, but indirect purchases that were seeking a form of equitable relief to permit them to seek reparations anyway. The ALJ thus cited the controlling rule:

The rule of law, as noted by the parties, was established in *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934), where it was held that injury occurred when the inapplicable charges were paid; that the claim of the payor accrued at once and that the law does not inquire into later events, citing *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531 (1918), in which Justice Holmes held that ‘The general tendency of the law, in regard to damages at least, is not to go beyond the first step.’

Therefore, the binding precedent is to not look past the “first step” and, in this case, that first step is the payment by Claimant of the unreasonable per diem charges assessed by Respondents.

It also is irrelevant whether Respondents also have a contractual relationship with the BCO. Respondents had a contract purporting to require Claimant to pay the unreasonable fees, and Respondents assessed those fees against Claimant. The recent Supreme Court case of *Apple Inc. v. Pepper*, cited in *In re Vehicle Carrier Services*, is instructive. There, Apple had a direct contractual relationship with *both* the app developers that made their apps available for sale and downloading through the Apple App Store, *and* the consumers that purchased the apps. Apple’s contract with the developers assessed a 30 percent commission (alleged to be an unreasonable overcharge) upon the sale of each app. Yet, the overcharge itself was paid by the consumer that purchased the apps. Accordingly, the Court held, consumers who were required to pay the overcharge were the direct purchasers and had standing to seek damages against Apple. Here, Claimant was assessed and required to pay the disputed per diem, not the BCO, and so Claimant is the direct purchaser.

The purpose of firm rules, such as the Commission’s direct purchaser rule, is to permit the Commission to exercise its remedial jurisdiction without a detailed examination of the intricacies of each claim. As in *Illinois Brick*, persons such as Claimant who directly pay the unreasonable overcharge are more likely to sue and thereby fulfill the remedial purposes of the Federal Maritime Act; and the assessment of reparations is simpler for the direct purchaser than an indirect purchaser. Thus, the application of the direct purchaser rule does not harm Respondents should their per diem practices be found in violation of the Shipping Act. Their

unlawful conduct simply will be subject to reparations and potential injunctive relief at the behest of a directly injured party, rather than at the behest of an indirectly injured party.

Conclusion

In conclusion, we request the Commission uphold the SCO's initial decision to:

1. Order Respondent to pay reparations for violations of the shipping act; and
2. Order Respondent to adhere to cease and desist from imposing per diem charges when such charges do not serve an incentivizing purpose, including charging per diem for days on which the return port/terminal is closed.

Further, we request the Commission to order Respondent to bill per diem directly to the contract holder.

Respectfully submitted.



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CERTIFICATE OF SERVICE

I hereby certify that a copy of the brief (dated June 24, 2021) was served via electronic mail to the following parties:

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Exhibit A

(EVERGREEN CONTINUED)

TABLE OF EQUIPMENT DETENTION CHARGES & FREE TIME AT ALL US STATES

For Both Import and Export

Type of Equipment	Standard Free Time (SFT)	1 st Excess period 1 st to 5 th calendar days	2 nd Excess Period From 6 th Calendar day
20'/40'/45' Dry Container	4 business days + day of pick-up	\$110.00 per day	\$150.00 per day
	Standard Free Time (SFT)	1 st Excess period 1 st to 4 th calendar days	2 nd Excess Period From 5 th Calendar day
Refrigerated Container	3 business days + day of pick-up	\$300.00 per day	\$350.00 per day
Flatbed, Flat Racks, Open Tops, Tanks	4 business days + day of pick-up	\$200.00 per day	\$230.00 per day

Note 1.) The Motor Carrier shall be allowed four (4) working days free time for dry container, flatbed, flat rack, open tops and tank container; three (3) working days free time for refrigerated container; four (4) working days free time for refrigerated containers loaded with dry cargoes plus pickup day, excluding Saturday, Sunday and legal holidays. Free time includes return day.

Note 2.) The 1st Excess Period will commence immediately upon the end of the Free Time and end on the day of return of the Equipment, or on the start of the 2nd Excess Period, whichever first occurs. Saturdays, Sundays, and legal Holidays are included in computing the Excess Period.

Note 3.) The 2nd Excess Period will commence immediately upon the end of the 1st Excess Period and will continue through to the day of return of the Container. Saturdays, Sundays, and legal Holidays are included in computing the 2nd Excess Period.

Note 4.)

(A) This rule governs per-diem charges where a Service Contract provides for Contractual Free Time ("CFT") that is greater than Standard Free Time ("SFT"). Saturdays, Sunday and legal Holidays shall be included in computing Excess Periods.

(B) The Motor Carrier shall pay per-diem charges for each day past CFT until the day the Container is returned by the Motor Carrier to the designated place or location.

(C) The per-diem Excess Period shall be calculated up to the date of return as follows:

1. If CFT is greater than SFT plus 1st Excess Period, the per-diem shall be charged at the rate of "2nd Excess Period.
2. If CFT is greater than SFT, but less than the total number of days of the SFT plus the First Excess Period, per diem will be charged as follows:
 - a. Gap period: The period between the end of CFT and the expiration of the last day of the combined total of the SFT plus the First Excess Period.
 - b. When the container is returned during the gap period, the First Excess Period charge rate shall be applicable from the first day after CFT expires up until the return day of the container.
 - c. When the container is returned after the combined SFT plus the first excess period, per diem will be charged on the basis of (i) the total of all first excess period charges applicable during the Gap Period set forth in (a) above plus (ii) second excess period charges which shall be assessed starting the day after the expiration of the Gap Period in (a) above and terminating upon the actual return date of the container.

Exhibit B



EVERGREEN SHIPPING AGENCY (AMERICA) CORPORATION

New Jersey Office
One Evertrust Plaza,
Jersey City, NJ 07302
Tel: (201) 761-3000

Preferred Trucker Agreement

Account Name	Yamaha Motor Corporation, USA	Account Code	USY000218						
Commodity Description	CKD for ATV, Golf Cart, Water Vehicle, Snow Mobile								
Service Contract Number		Service Contract Volume	3500TEUs						
Preferred Trucker Name	Tennessee Commercial Warehouse	SCAC Code	TCWI						
Service Scope	<table border="1"> <tr> <td>IMPORT :</td> <td>EXPORT :</td> </tr> <tr> <td>From: SAVANNAH, GA</td> <td>From:</td> </tr> <tr> <td>To: Newnan, GA</td> <td>To:</td> </tr> </table>			IMPORT :	EXPORT :	From: SAVANNAH, GA	From:	To: Newnan, GA	To:
IMPORT :	EXPORT :								
From: SAVANNAH, GA	From:								
To: Newnan, GA	To:								
Rate	USD915 + FSC								
Effective Date	MAY 1, 2019	Expiration Date	April 30, 2020						

This is to confirm that Evergreen Shipping Agency (America) Corporation ("EGA") as agent for Evergreen Line (hereinafter the "Principal") has agreed to the designation by the undersigned Account (the "Account") of the above mentioned inland carrier as the preferred trucker ("PT") for door deliveries of import cargoes and door pick up for export cargoes to the above designated location on behalf of the Account. By signing this agreement, the undersigned Parties hereby agree to the following terms and conditions:

1. As a condition precedent to being authorized to act as PT under this Agreement, the PT must fully comply with and be a signatory to the provisions of the UIIA Interchange Agreement, including, but not limited to, the insurance coverages provided therein.
2. Except where EGA sends Delivery Orders to PT for delivery or pick up of container, the Account or its customs broker will be responsible to send Delivery Orders to the PT for delivery or pick up of the containers with a copy to EGA's intermodal department.
3. The above trucking rate(s) are good for the life of the referenced Service Contract including any amendments, revisions or extension thereto and or any subsequent successor Service Contracts entered into with the Account which requires the use of the Account's PT. Neither the Principal nor EGA will be responsible for any additional charges, such as, but not limited to, the demurrage, storage, waiting time, per diem and diversions pertaining to the shipments under this request.
4. The PT should process the invoices via EGA's website invoicing program. EGA will not accept or process any hardcopy invoice for payment. The PT is requested to keep all delivery records and documents properly on file. Upon request, the PT shall provide these delivery or pick up documents to EGA in a timely manner.
5. In the event the PT accumulates outstanding Per Diem and/or Maintenance and Repair invoices for shipments delivered or picked up on Account's behalf, the Account will assist EGA to collect these charges from the PT in a timely manner. If the PT is frequently delinquent in the payment of these charges, the EGA on behalf of its Principal reserves the right to terminate this agreement.
6. If any of the above conditions are violated, EGA on behalf of the Principal reserves the right to terminate this agreement. If this agreement is cancelled, EGA shall assign other designated trucker(s) for delivery or pick up of shipments carried pursuant to the referenced service contract.

US drayage drivers quitting as rail ramp congestion crimps pay

Ari Ashe, Senior Editor | May 19, 2021 4:38PM EDT

Drivers who dray ocean containers in the Midwest and South Central US are quitting in alarming numbers this year because **rail terminal congestion** has lowered their daily productivity and, in turn, their paychecks, according to trucking executives.

Although trucking companies have raised rates for drayage service and increased driver pay, it has not been enough to compensate drivers for completing fewer jobs per day. Drayage providers in Chicago, Cleveland, Columbus, Dallas, **Kansas City**, and Memphis have seen as much as one-quarter of their drivers quit because of their decline in income.

Average local drayage driver pay has fallen about 20 percent this year compared with 2019 because drivers get paid per completed job — not per hour or per mile — according to trucking executives in Chicago, Dallas, Kansas City, and Memphis.

With chassis shortages, terminal congestion, and restrictions on export loads and returning empty boxes, drivers have lost as many as three turns per day compared with 2019 and early 2020, the executives told JOC.com.

“I dread coming into the office some mornings because there is so much freight, and not enough equipment,” said Tina Cozzi, CEO of Land Transportation, a drayage provider in Chicago and an agent of The Evans Network of Companies. “We are struggling to keep the drivers we have happy.” On the least productive days, pay is down as much as 50 percent for Land Transportation drivers compared with two years ago, she said.

Meanwhile, truckload spot rates have reached record levels and drivers in those sectors are making more money than ever. Drivers hauling ocean containers have noticed and are taking advantage of those opportunities, said Brad Elam, vice president of Texas-based drayage provider Gulf Winds International.

“It is very challenging working in intermodal, especially right now. If drivers can pull a van or a flatbed, it’s a little bit less stress on them, and they’re also bringing in more money,” Elam told JOC.com.

Dry van rates rose more than 50 percent year over year in March and were 75 percent higher compared with the dip in truckload rates April 2020 — the early days of the COVID-19 pandemic — according to a JOC.com analysis of data from DAT Solutions, LaneMaster, digital freight broker Loadsmart, and a survey of truckload brokers. Flatbed spot rates are up more than 65 percent compared with a year ago, according to DAT.

Losing drivers to the truckload market, or other industries, is exacerbating an overtaxed international supply chain. International intermodal volume rose 17 percent year over year in the first four months of 2021, according to the Intermodal Association of North America (IANA). IANA reports volume jumped 18 percent in the Midwest and surged 26 percent in the South Central US during this same period.

“We are having to do more work with fewer drivers,” said Mike Burton, CEO of C&K Trucking, a drayage provider in several US inland markets, including Chicago. “I need at least a 30 percent increase in our driver workforce to effectively handle the volume we’re seeing today, instead we have lost 20 percent. There are other opportunities available right now for drivers that are less complex and less frustrating where they can make more money.”

With fewer drivers, trucking companies are struggling to get all the import boxes out of rail yards before the free time expires, and shippers may not be able to get deliveries or pickups as quickly as two years ago, fleet executives told JOC.com.

Chassis shortage hurting productivity

Burton said a local Chicago driver in 2019 could complete as many as six jobs in a productive day, but today the average is three jobs. Other drayage providers gave slightly different figures, depending on the city and mix of business, but trucking executives agreed the average local driver completes one to three fewer jobs per day compared with 2019 and early 2020.

The executives also agreed that a shortage of available chassis is the primary culprit in the falloff in driver productivity.

Railroads have “grounded” import boxes until more chassis become available, leaving less terminal space for outbound containers. As a result, railroads cap the number of export loads and empty container returns at those facilities, causing boxes — and the chassis on which they are mounted — to sit in a trucker’s drop lot, further exacerbating the equipment shortage.

Ryan Houfek, chief commercial officer of DCLI, explained that the average number of days a chassis is out on the street has risen in every inland location, which combined with the volume surge has produced a paralyzing combination.

“The freight surge we are seeing in some markets is up 30 percent and 130 percent or more in other markets,” Houfek said during the [Coalition of New England Companies for Trade conference](#) May 12. “It’s a combination of events that we’ve never seen before. And there’s simply no provider of capacity in the supply chain that can adapt to that dynamic.

“In certain markets like Kansas City, the Ohio Valley, and Chicago, we’ve seen wild swings in volume, demand, and dwell,” he added. “And not surprisingly, that’s where you’re seeing the shortages occur.”

In Chicago, Burton said drivers can spend at least two hours to get the right chassis.

“The driver has to bobtail to get the chassis, wait in line for the chassis, and then drive the chassis to the origin rail to get the container. This can add up to an additional 60 miles of driving. A driver is limited to 11 hours of driving time daily under federal regulations. If the time to bobtail and reposition the chassis to the origin rail facility is two hours, that alone eats up almost 20 percent of the driver’s time in just one move,” Burton explained.

Flip lines are too long

Truckers use a flip line, also known as a lift line, inside a rail terminal when a container needs to be loaded or unloaded from a chassis. There are several reasons why a trucker may use a flip line.

If there are no available chassis available inside the terminal, then a driver would go to a flip line with a chassis procured in another rail yard to get their container mounted. In some cases, it will be a trucker-owned chassis, and in other cases, as Burton explained, it’s a chassis the driver went across the city to secure.

Flip lines are also commonly used when a driver wants to do a dual transaction — dropping off one box and picking up another same move — or the trucking company owns the chassis underneath an export or empty container.

Flip lines have grown longer in recent months because of the chassis shortages, including two-hour delays inside BNSF Logistics Park Chicago (LPC) on May 14, according to multiple sources, eating into a driver’s regulated hours behind the wheel.

Cozzi said two of Land Transportation's drivers spent nearly an entire day returning a single empty container each last week.

"They both got into LPC around 9:30 in the morning. They had to wait for lift off because it was our chassis. They were there until nearly 4:00 in the afternoon waiting to get the empty box lifted off. We charged our shipper for driver detention, but that doesn't even come close to recouping the productivity loss for those two drivers," Cozzi said.

One of the few bright spots has been in Dallas, according to Elam, where driver productivity has improved in the last 30 days compared with [the chaos of mid-February](#). He said driver paychecks have gone back up too, but drivers remain skeptical about whether this is only a temporary reprieve.

That chaos remains the norm in Chicago, Cleveland, Columbus, Memphis, and Kansas City, according to Elam, Burton, Cozzi, and other fleet executives, with no clear indications as to when calm will be restored.

Contact Ari Ashe at ari.ashe@ihsmarkit.com and follow him on Twitter: [@arijashe](#).

Driver turnover tightening NY-NJ drayage capacity amid import surge

Michael Angell, Associate Editor | May 20, 2021 3:00PM EDT

Drayage operators expect already limited trucking capacity at the Port of New York and New Jersey to tighten even further in the coming months as cargo volumes show no signs of slowing and drivers exit the business because of the increasing hassles they face pulling containers.

For shippers, containers are still moving off the New York-New Jersey docks, but drayage executives say port truckers are about half as productive as they once were, resulting in higher driver turnover and continuous rate increases to keep and attract new drivers.

“It’s going to get tough to get a truck,” said Bob Leef, senior vice president of ContainerPort Group (CPG), a drayage and intermodal service provider with operations across the eastern and southern United States. “Driver turnover has gotten worse this year. It’s the stress and pressure of going in and out of multiple terminals and these delays.”

According to a North American customer advisory note from Maersk, truck supply since Mar. 17 has had a “high impact” on the supply chain at the Port of New York and New Jersey. Other than Savannah, that is the longest period of any of the major US ports it tracks.

Leef said many drivers servicing the second-largest US cargo gateway are only able to make two turns per day, compared with three or more turns prior to the surge in imports that began last summer.

As a result, CPG is boosting pay to keep its owner-operator drivers, who can get paid by the trip or per mile, and charging customers more for detention, i.e., the time drivers spend at receiving facilities. Although pricing varies widely depending on a particular shipper’s needs, Leef estimates that drayage rates in the Port of New York and New Jersey have risen 15 percent because of the import surge.

“Driver compensation is going up and so are rates,” Leef said.

Thomas Adamski, an agent for First Coast Logistics, an affiliate of RoadOne IntermodaLogistics, said drayage rates are now 30 percent higher than they were two years

ago. A move to a warehouse within a three-hour drive of the port now costs \$650, compared with \$500 in 2019.

Even with rates rising, he says the typical owner-operator is not making more money because they are doing fewer container moves per day. He said many drivers used to do three container moves per day depending on a terminal's operating hours. During the 2021 container surge, some were only able to get one move per day.

Import growth limiting terminal space

Leef said CPG drivers are often spending between two and two-and-a-half hours either in a queue outside or inside terminals waiting to pick up an import load. In rare instances, those turn times can be as much as four to six hours, he said. Due to various safety rules at terminals, truckers are sometimes not allowed to leave their cab during those waits.

"No one wants to sit somewhere for four to six hours at a time," he said. "If you're the guy that had to do that, you are quitting the next day."

The limited driving time is further eaten up when truckers can't drop off an empty container at the same location where they pick up an import container, also known as "double moves," as a result of container alliances calling on different terminals within New York-New Jersey, Leef said. He estimates that the number of double moves for drivers in the port is down 40 percent.

In addition, the [closure of the Ironbound Intermodal Depot for empty container storage](#) means more truckers are converging on a limited number of off-terminal locations for empty returns, he added, causing further congestion. Because empty containers will sit on chassis until a drop-off site opens, Leef said that creates further delays for drivers in hauling import loads.

"We've got to get back to basics and have more double moves," Leef said, adding that longer operating hours at marine terminals and having ocean carriers paying for repositioning empties could help increase productivity.

Adamski said much of the delay inside the terminals stems from both high volumes of imports and the resulting high number of empty containers. Terminal operators are having to stack containers even higher, resulting in longer wait times for truckers while the container they are picking up is dug out of those stacks.

"They are so tight on space," he said.

From August 2020 through April 2021, terminals in the Port of New York and New Jersey have handled more 3.35 million TEU of laden containerized imports, 26.9 percent more than in the previous nine months. In March and April alone, import volumes were up 31.5 percent compared with the same period in 2019, prior to the COVID-19 pandemic and the resulting effects on cargo flows.

Most truckers take two to three hours to retrieve or drop off containers at terminals, Adamski said. However, he said there are increasingly common occurrences where drivers might be inside terminals for five or six hours. As drivers relay those incidents to one another, they become less willing to accept jobs going to that specific terminal, he added.

“When the wheels aren’t turning, you aren’t making money,” Adamski said.

Still, Adamski says the biggest drag on port trucker productivity is the increasing difficulty truckers have in returning an empty container to the same terminal where they are picking up an import load. He estimates that less than 40 percent of the turns that his drivers make are returning empties to the same location where they pick up an import load.

In some cases, ocean carriers issue last-minute changes on where an empty container is returned when a driver’s schedule for empty returns has already been arranged the prior day, Adamski said.

“It gets difficult when they change where the empty is going, which botches things up even more,” Adamski said. “The terminals are next door to one another, but the time spent getting in and out eats up the driver’s time.”

According to an executive for a Middlesex County-based drayage carrier who asked not to be identified, about half of his driver’s trips are double moves, compared with up to 90 percent during periods of lower volume.

“The ocean carriers want to say it’s an unprecedented amount of freight coming in,” the executive said. “And we can handle that, but only if you take the same amount of empties out.”

During fluid times at the port, drivers were able to make up to three turns per day, he said. However, returning empty containers to other sites means drivers are increasingly making two turns per day, he added.

The executive said that most container moves in and out of New York-New Jersey terminals take two hours or less. However, he said that incidents of drivers spending five or six hours to drop off an empty container are increasing. As a result, drivers are using up to half their available hours per day waiting, he added.

His company is compensating drivers for waiting, so drivers are being compensated for the delays. The delay surcharges still don't make up for losing out on an additional turn.

As a result of the high demand on drivers, he said his firm had to increase drayage rates 8 percent to 10 percent over the past month.

"The freight is moving, but it could move a lot better," he said.

Contact Michael Angell at michael.angell@ihsmarkit.com and follow him on Twitter: [@michael_angell](https://twitter.com/michael_angell).



EVERGREEN SHIPPING AGENCY (AMERICA) CORPORATION

DALLAS OFFICE

TOLLWAY PLAZA I 16000 NORTH DALLAS PARKWAY SUITE 400, DALLAS, TX 75248

PER DIEM INVOICE

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TCW, INC.

22 STANLEY STREET

NASHVILLE TN 37210-0001
UNITED STATESCLIENT NO. : UST007712
INVOICE NO. : PF 2101002438 001
INVOICE DATE: 2021-01-04
DUE DATE : 2021-02-03
PAGE : 1/1CONTACT: THIERRY FRANCK TURQUET
TEL : 1-972-2465531
FAX : 1-972-2465504
E-MAIL : thierryturquet@evergreen-shipping.us
OFFICE : USDLS-LOG

CONSIGNEE	REFERENCE	PICK UP DATE	BILL PERIOD	FROM	TO	FREE	BILL		
CONTAINER		PICK UP LOC		LAST	FREE D.	DAYS	DAYS	TOTAL	PAID
CHASSIS									
REMARK									

YAMAHA MOTOR MANUFACTURING CORPORATION OF AMERICA									
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				2020/12/16				1,500.00	
TCWZ4175086	003092084626	2020/11/25	2020/11/25	2020/12/26		4	24		
				2020/12/02				480.00	
SAVANNAH POR TAIWAN									

SUB TOTAL								1,980.00	
GRAND TOTAL								1,980.00	
PAID								.00	

OUTSTANDING								1,980.00	

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1. This invoice is due and payable when rendered.
2. Remittance is to be mailed to the address above.
3. Please show invoice number and client number on remittance.
4. The Motor Carrier/Customer shall respond in writing to Evergreen's invoices within 30 days of the invoice date, documenting with appropriate evidence its disagreement with any charges it believes to be incorrect. Otherwise, Evergreen deems all invoices to be billed accurately and the payment should be received by the due date.

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